

HOTEL CASE STUDY

BKC Financial District, Bandra (East), Mumbai - 400051

- **Term Loan:** Term Loan of Rs. 70.00 Crore
- **Working Capital:** Working Capital / CC Limit of Rs. 5.00 Crore (Proposed)
- **Total Proposed: Rs. 75.00 Crore**

Appraisal Type: Project Finance & Term Loan Appraisal

Entity Legal Name:	Grand Horizon Hospitality LLP	PAN Number:	AAAFG1234H
Constitution:	Limited Liability Partnership (LLP)	GSTIN Registration:	06AAAFG1234H1Z5
Registered Office:		Udyam (MSME) Reg:	
Project Location:	Survey No. 118, Outer Ring Road, Near IT Corridor, Bengaluru, Karnataka - 560103	CIN / LLPIN Number:	
Commencement Date:		Statutory Licences:	
Contact Details:	Ph: +91 98765 43210 / 080-23456789 Email: contact@grandhorizon.in	Website:	

Name & Designation:	()	Authorised Signatory:	
Shareholding & Net Worth:		Promoter CIBIL Score:	
DIN / DPIN Number:		Existing Bank Limits:	
Educational Qualification:		Credit Rating / Conduct:	
Experience in Line:		Statutory Auditor:	
Residential Address:		Place & Date of Dossier:	

Declaration & Certification: We hereby certify that the particulars, statements, and financial projections given above and in the annexed detailed project report are true, correct, and complete to the best of our knowledge and belief, and no material fact has been omitted.

DETAILED PROJECT REPORT (DPR)

HOTEL CASE STUDY

Project Finance & Term Loan Appraisal
Construction Start: 2024-25 | Tenure: 10 Years
Currency: Indian Rupee (INR) | Denomination: ₹ in Crore

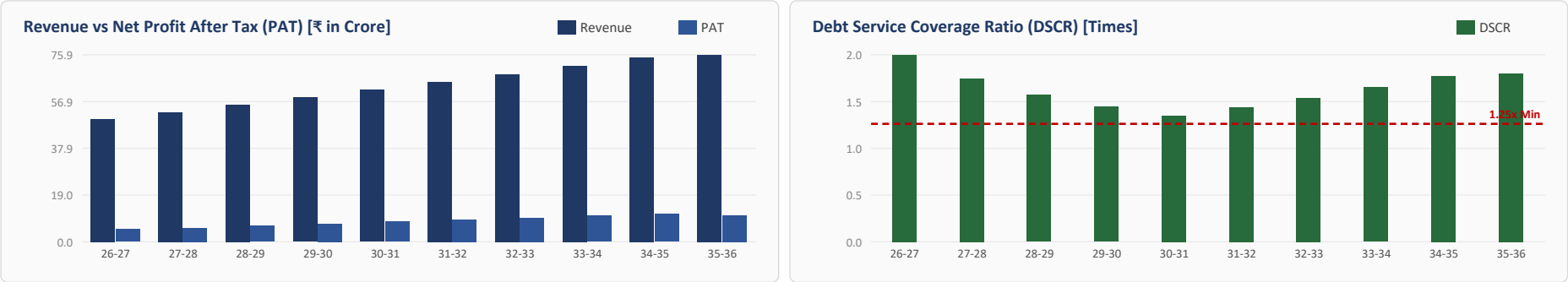
1. Key Financial & Operational Highlights (₹ in Crore)

TOTAL PROJECT COST	PROMOTER CONTRIBUTION	TERM LOAN (BANK)	INTEREST DURING CONSTR.	DEBT : EQUITY RATIO
₹ 134.58 Cr	₹ 64.08 Cr (47.6%)	₹ 70.50 Cr (52.4%)	₹ 7.08 Cr	1.10x (Max 2.0x)
AVERAGE DSCR	MINIMUM DSCR	PROJECT IRR	SIMPLE PAY-BACK	BREAK-EVEN (YR 1)
1.59x	1.34x	9.85%	7.56 Years	74.5% Capacity

2. Banker's Appraisal & Viability Benchmarks

PASS : Min DSCR ≥ 1.25x	REVIEW : Project IRR > Loan Interest	PASS : Debt : Equity ≤ 2 : 1	PASS : Balance Sheet Tallies
Observed: 1.34x (Viable)	IRR 9.85% vs Rate 10.00%	Observed: 1.10 : 1 (Conservative)	Diff: 0.00 Cr (Assets == Liab)

3. Operating Performance & Debt Service Trajectory (₹ in Crore)



PROJECT ASSUMPTIONS, COST OF PROJECT & MEANS OF FINANCE (₹ in Crore)

Project Cost Breakdown & Financing Plan (₹ in Crore)

Particulars	Total Cost	Margin %	Promoter Contribution	Bank Finance
Cost of Land [already acquired by the Company]	20.00	100.00%	20.00	-
Cost of Approvals / Premiums & Regulatory Costs	10.00	50.00%	5.00	5.00
Cost of Construction of the Hotel Building	40.00	30.00%	12.00	28.00
Cost of Interiors & Kitchen Equipments	50.00	25.00%	12.50	37.50
Contingency Margin	7.50	100.00%	7.50	-
Core Project Cost [A]	127.50		57.00	70.50
Interest During Construction [B]	7.08	100.00%	7.08	-
Total Project Cost [A+B]	134.58		64.08	70.50

Quarterly Capital Expenditure Phasing

Cost Phasing (% per quarter)	Q1	Q2	Q3	Q4	Q5	Q6	Q7	Q8
Cost of Land [already acquired by the Company]	100.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Cost of Approvals / Premiums & Regulatory Costs	25.00%	50.00%	10.00%	0.00%	0.00%	0.00%	10.00%	5.00%
Cost of Construction of the Hotel Building	10.00%	20.00%	30.00%	35.00%	5.00%	0.00%	0.00%	0.00%
Cost of Interiors & Kitchen Equipments	0.00%	0.00%	10.00%	10.00%	20.00%	20.00%	30.00%	10.00%
Contingency Margin	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	50.00%	50.00%

Summary of Operational, Financing & Tax Parameters

Term Loan Interest Rate	10.00% p.a.	Annual Room Tariff Escalation	1.5%
Corporate Tax Rate	33.00%	F&B Consumables (% Rev)	7.5%
Useful Life: Hotel Building	40 Years	Employee Costs (% Rev)	20.0%
Useful Life: Kitchen Equipment	15 Years	Power & Fuel (% Rev)	6.0%
Revenue Share: Rooms	55.0%	Other Variable Costs (% Rev)	4.0%
Revenue Share: Food & Beverages	30.0%	Marriott Service Fees (% Room Rev)	5.0%
Revenue Share: Other Sources	15.0%	Admin & Selling Exp (% Rev Yr 1)	20.0%
Total Room Capacity	125 Rooms	Admin Exp Annual Inflation	10.0%
Operating Days / Year	365 Days	Term Loan Repayment Tenure	10 Years
First Year Occupancy / Cap	60.0% / 80.0%	Total Loan Installments	120 Installments
Annual Occupancy Ramp-up	2.5%	Repayment Amortization Profile	Stepped / Balloon (Hotel Case Study: 2.5%, 5%, 7.5%, 10%, 12.5% x 6)
Initial Room Tariff per Day	Rs. 10,000		

PROJECT INCOME STATEMENT - OPERATING PERFORMANCE (₹ in Crore)

Particulars	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
All amounts in ₹ in Crore										
Occupancy Assumed	60.00%	62.50%	65.00%	67.50%	70.00%	72.50%	75.00%	77.50%	80.00%	80.00%
Room Tariff per day (Rs.)	10,000	10,150	10,302	10,457	10,614	10,773	10,934	11,098	11,265	11,434
Total Revenues during the Year:										
Room revenues	27.38	28.94	30.55	32.20	33.90	35.63	37.42	39.24	41.12	41.73
Food & Beverages	14.93	15.79	16.67	17.57	18.49	19.44	20.41	21.41	22.43	22.76
Other Sources	7.47	7.89	8.33	8.78	9.24	9.72	10.20	10.70	11.21	11.38
Total Revenues during the Year [A]	49.77	52.62	55.55	58.55	61.63	64.79	68.03	71.35	74.76	75.88
Total Expenditure for the Year:										
Variable Expenses:										
Food & Beverages Consumables	3.73	3.95	4.17	4.39	4.62	4.86	5.10	5.35	5.61	5.69
Employee Costs	9.95	10.52	11.11	11.71	12.33	12.96	13.61	14.27	14.95	15.18
Power & Fuel	2.99	3.16	3.33	3.51	3.70	3.89	4.08	4.28	4.49	4.55
Other Variable Expenses	1.99	2.10	2.22	2.34	2.47	2.59	2.72	2.85	2.99	3.04
Service Fees to Marriott [Room revenue]	1.37	1.45	1.53	1.61	1.69	1.78	1.87	1.96	2.06	2.09
Total Variable Expenses [B]	20.03	21.18	22.36	23.57	24.81	26.08	27.38	28.72	30.09	30.54
Fixed Expenses:										
Administrative & Selling Expenses	9.95	10.95	12.04	13.25	14.57	16.03	17.64	19.40	21.34	23.47
Depreciation	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
Interest on Term Loan	6.96	6.70	6.26	5.64	4.85	3.97	3.08	2.20	1.32	0.44
Total Fixed Expenses [C]	22.17	22.90	23.55	24.14	24.67	25.25	25.97	26.85	27.91	29.16
Total Expenditure for the Year [D=B+C]	42.20	44.08	45.91	47.71	49.48	51.33	53.35	55.57	58.00	59.71
Net Profit Before Tax [E=A-D]	7.57	8.54	9.64	10.84	12.15	13.46	14.68	15.78	16.76	16.17
[-] Tax	2.50	2.82	3.18	3.58	4.01	4.44	4.84	5.21	5.53	5.34
Net Profit After Tax	5.07	5.72	6.46	7.27	8.14	9.02	9.83	10.57	11.23	10.84

TERM LOAN REPAYMENT SCHEDULE & DEBT SERVICE COVERAGE (₹ in Crore)

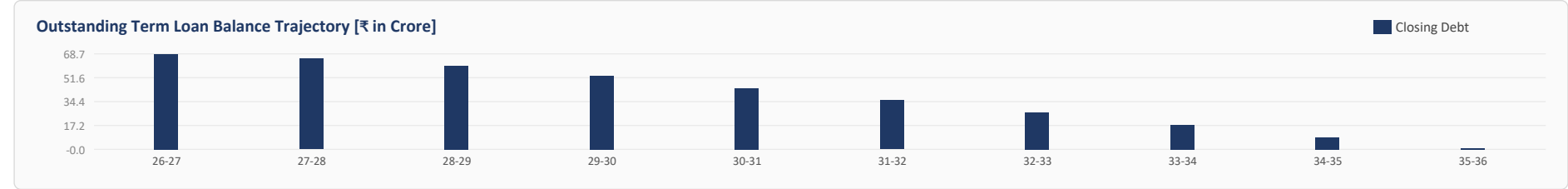
1. Term Loan Repayment Schedule & Interest Burden (₹ in Crore)

Term Loan Repayment Schedule	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Number of Installments in the Year	3	6	9	12	15	15	15	15	15	15
Repayment for the Year in %age	2.50%	5.00%	7.50%	10.00%	12.50%	12.50%	12.50%	12.50%	12.50%	12.50%
Opening Balance	70.50	68.74	65.21	59.92	52.87	44.06	35.25	26.44	17.62	8.81
[-] Repayment	1.76	3.53	5.29	7.05	8.81	8.81	8.81	8.81	8.81	8.81
Closing Balance	68.74	65.21	59.92	52.87	44.06	35.25	26.44	17.62	8.81	-
Average Balance	69.62	66.97	62.57	56.40	48.47	39.66	30.84	22.03	13.22	4.41
Interest on Term Loan	6.96	6.70	6.26	5.64	4.85	3.97	3.08	2.20	1.32	0.44

2. Debt Service Coverage Ratio (DSCR) Analysis (₹ in Crore)

Debt Service Coverage Ratio	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Net Profit After tax	5.07	5.72	6.46	7.27	8.14	9.02	9.83	10.57	11.23	10.84
[+] Interest Payment During the Year	6.96	6.70	6.26	5.64	4.85	3.97	3.08	2.20	1.32	0.44
[+] Depreciation for the year	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
Total Cash-flow available for servicing the debt	17.29	17.67	17.97	18.16	18.24	18.24	18.17	18.03	17.80	16.53
Interest Payment During the Year	6.96	6.70	6.26	5.64	4.85	3.97	3.08	2.20	1.32	0.44
[+] Principal Repayment during the year	1.76	3.53	5.29	7.05	8.81	8.81	8.81	8.81	8.81	8.81
Total Debt repayment during the Year	8.72	10.22	11.54	12.69	13.66	12.78	11.90	11.02	10.13	9.25
Debt Service Coverage Ratio [in times]	1.98x	1.73x	1.56x	1.43x	1.34x	1.43x	1.53x	1.64x	1.76x	1.79x
Average DSCR [in times]	1.59x									

3. Outstanding Term Loan Principal Amortization Trajectory (₹ in Crore)



PROJECT PROFITABILITY, BREAK-EVEN & FINANCIAL VIABILITY (₹ in Crore)

1. Break-Even Point (BEP) Analysis & Margin of Safety (₹ in Crore)

Break-Even Point	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Total Sales [A]	49.77	52.62	55.55	58.55	61.63	64.79	68.03	71.35	74.76	75.88
[-] Variable Cost [B]	20.03	21.18	22.36	23.57	24.81	26.08	27.38	28.72	30.09	30.54
Contribution [C=A-B]	29.74	31.44	33.19	34.98	36.82	38.71	40.65	42.63	44.67	45.34
Profit Volume Ratio [D=C/A]	59.75%	59.75%	59.75%	59.75%	59.75%	59.75%	59.75%	59.75%	59.75%	59.75%
Fixed Costs [E]	22.17	22.90	23.55	24.14	24.67	25.25	25.97	26.85	27.91	29.16
Net Profit Before Tax [F=C-E]	7.57	8.54	9.64	10.84	12.15	13.46	14.68	15.78	16.76	16.17
Break-Even Point [E/D]	37.10	38.32	39.42	40.40	41.29	42.26	43.47	44.94	46.71	48.81
BEP as a %age of Sales	74.54%	72.83%	70.96%	69.00%	67.00%	65.22%	63.89%	62.99%	62.49%	64.33%
Fixed Costs excluding Depreciation	16.92	17.65	18.30	18.89	19.42	20.00	20.72	21.60	22.66	23.91
Cash-Break Even Point	28.31	29.54	30.63	31.61	32.50	33.47	34.68	36.15	37.93	40.02
Cash Break Even Point as %age of sales	56.88%	56.13%	55.14%	53.99%	52.74%	51.66%	50.97%	50.67%	50.73%	52.74%

2. Internal Rate of Return (IRR) Schedule (₹ in Crore)

Internal Rate of Return	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Cash-Flow After Tax	-	-	17.29	17.67	17.97	18.16	18.24	18.24	18.17	18.03	17.80	16.53
[+] Terminal Value of Fixed Assets	-	-	-	-	-	-	-	-	-	-	-	82.06
Project Cash Outflow	(78.00)	(56.57)	-	-	-	-	-	-	-	-	-	-
Total Cash-Flows	(78.00)	(56.57)	17.29	17.67	17.97	18.16	18.24	18.24	18.17	18.03	17.80	98.59
Internal Rate of Return	9.85%											

3. Simple Pay-Back Period Calculation

Pay-Back Period	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Total Cash-flow available for servicing the debt	17.29	17.67	17.97	18.16	18.24	18.24	18.17	18.03	17.80	16.53
Average Cash-Flows	17.81									
Cost of Project	134.58									
Simple Pay-Back Period	7.56 years									

PROJECTED BALANCE SHEET & CASH FLOW STATEMENT (₹ in Crore)

1. Projected Balance Sheet (₹ in Crore)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Assets:												
Gross Block	-	-	134.58	134.58	134.58	134.58	134.58	134.58	134.58	134.58	134.58	134.58
[-] Accumulated Depreciation	-	-	5.25	10.50	15.75	21.01	26.26	31.51	36.76	42.01	47.26	52.51
Net Block	-	-	129.33	124.07	118.82	113.57	108.32	103.07	97.82	92.57	87.31	82.06
Capital Work in Progress	78.00	134.58	-	-	-	-	-	-	-	-	-	-
Cash & Bank Balance	-	-	8.56	16.01	22.43	27.90	32.48	37.94	44.21	51.22	58.89	66.17
Total Assets	78.00	134.58	137.89	140.09	141.26	141.47	140.80	141.01	142.03	143.79	146.20	148.23
Liabilities:												
Core Equity Capital	39.65	64.08	64.08	64.08	64.08	64.08	64.08	64.08	64.08	64.08	64.08	64.08
[+] Reserves & Surplus	-	-	5.07	10.80	17.25	24.52	32.66	41.68	51.52	62.09	73.31	84.15
Net Worth	39.65	64.08	69.15	74.87	81.33	88.60	96.74	105.76	115.59	126.17	137.39	148.23
Bank Loan	38.35	70.50	68.74	65.21	59.92	52.87	44.06	35.25	26.44	17.62	8.81	-
Total Liabilities	78.00	134.58	137.89	140.09	141.26	141.47	140.80	141.01	142.03	143.79	146.20	148.23

2. Projected Cash Flow Statement (₹ in Crore)

Particulars	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2030-31	2031-32	2032-33	2033-34	2034-35	2035-36
Sources of Finance:												
Net Profit After Tax	-	-	5.07	5.72	6.46	7.27	8.14	9.02	9.83	10.57	11.23	10.84
[+] Depreciation	-	-	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
[+] Capital Infusion	39.65	24.42	-	-	-	-	-	-	-	-	-	-
[+] Debt Capital Raised	38.35	32.15	-	-	-	-	-	-	-	-	-	-
Total Funds Infused [A]	78.00	56.57	10.32	10.98	11.71	12.52	13.39	14.27	15.08	15.82	16.48	16.09
Use of Funds:												
Fixed Assets Purchased	78.00	56.57	-	-	-	-	-	-	-	-	-	-
Term Loan Repaid	-	-	1.76	3.53	5.29	7.05	8.81	8.81	8.81	8.81	8.81	8.81
Total Out-Flow [B]	78.00	56.57	1.76	3.53	5.29	7.05	8.81	8.81	8.81	8.81	8.81	8.81
Surplus [A-B]	-	-	8.56	7.45	6.42	5.47	4.58	5.46	6.27	7.01	7.67	7.28
Opening Balance	-	-	-	8.56	16.01	22.43	27.90	32.48	37.94	44.21	51.22	58.89
Closing Balance	-	-	8.56	16.01	22.43	27.90	32.48	37.94	44.21	51.22	58.89	66.17